Debt Cures Method

If Buddy uses the *Debt Cures* methods and increases his FICO score to 750, he can refinance to a loan with a 5.5% rate that is fixed for 25 years. He would still have PMI, but it would be at a reduced rate, since his FICO score is significantly higher.

In the following scenarios, let's assume Buddy has the improved credit score and loan terms outlined above, but that he is still making a total monthly payment of $3901.45. Under these new circumstances, let's see how quickly he will pay off the home loan.

Scenario A1:

Monthly payment is $3901.45, principal and interest of $3578.12 and PMI of $323.33. PMI would not be removed until 42 months of payments have been made.

Once the PMI is removed, with minimum principal and interest payment of $3578.12 monthly, the loan would be entirely paid off in 13 years and 3 months, saving him $483,093.03 in interest.

If Buddy pays $3904.45 each month – with the $323.33 PMI now going toward paying down the principal loan balance – the loan would be entirely paid off in 12 years and 1 month, saving approximately $497,060.

Scenario B1:

Payment every two weeks instead of making one monthly payment – $1950.73 in principal, interest of $1789.06 and PMI of $161.67. PMI would not be removed until 37 months of payments have been made.

Once the PMI is removed, with payment of $1789.06 every 2 weeks, the loan would be entirely paid off in 11 years and 9 months, saving approximately $502,770 in interest.

Paying $1950.73 every two weeks, the loan would be entirely paid off in 10 years and 10 months, saving approximately $515,255.